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A Payoff Out of Poverty?

By TINA ROSENBERG

FORTY-NINE YEARS AGO, the anthropologist Oscar Lewis published a book called “Five Families: Mexican Case Studies in the Culture of Poverty,” detailing a single day in these families’ lives. One family, headed by Jesús Sánchez, a food buyer for a restaurant, continued to tell its story in a second Lewis book, the widely read “Children of Sánchez.” Lewis singled out elements of a culture that, he argued, keep those socialized in it mired in poverty: machismo, authoritarianism, marginalization from organized civic life, high rates of abandonment of illegitimate children, [alcoholism](#), disdain for education, fatalism, passivity, inability to defer gratification and a time orientation fixed firmly on the present.

We still call this the culture of poverty today. But the idea has taken on a life far beyond the world of Mexican peasants. And although the concept originated with Lewis, it has come to mean almost the opposite of what Lewis intended.

Lewis was a man of the left. He saw the culture of poverty as a defense mechanism adapted by the poor in response to capitalist inequality. For a while, the culture of poverty remained a leftist idea: Michael Harrington used it throughout his hugely influential 1962 book, “The Other America,” which laid the foundation for President Johnson’s War on Poverty. But Lewis soon lost control of the concept. With the publication of [Daniel Patrick Moynihan](#)’s 1965 report “The Negro Family,” the “culture of poverty” became a shorthand for black ghetto culture, a defect of the poor. Then Edward Banfield, a conservative political scientist, introduced the notion that the culture of poverty was immutable; his 1970 book, “The Unheavenly City,” attacked the key assumption of the War on Poverty — the idea that government can help. Banfield argued that poverty was a product of the poor’s lack of future-orientation, and that nothing government could feasibly do would change that orientation or stop parents from transmitting it to their children.

Banfield’s book is widely seen as retrograde today, but he still seems to own the culture of poverty. Lewis had used the phrase to describe habits acquired in response to structural factors — the standard left-wing argument that people are poor because of low wages, discrimination and bad schools. But the phrase has essentially become shorthand for the right-wing argument that poverty stems from the limitations of the poor and is largely impervious to outside intervention.

Persistent poverty has retreated from the political debate in the United States. But outside the headlines there has been a gentle evolution in thinking about the causes and cures for poverty, one that moves away

from blaming capitalism and blaming the poor alike. Today, the most interesting development in that evolution — one with implications for fighting poverty around the world, including in the United States — is coming once again from [Mexico](#), this time from the grandchildren of the children of Sánchez.

WE DO NOT KNOW exactly where Jesús Sánchez was born, but it was a village in Veracruz and it easily could have been Paso de Coyutla, a village of 134 families in the mountains along the San Marcos River. Until just a decade ago, Paso de Coyutla was one of the most marginalized places in Mexico, a place where men scratched out a living farming ever-more-subdivided, ever-smaller patches of corn, joined by their children who left school too early, robbed of a future by the need to work. There, on a recent trip, I met Irma Solís, 37, and Pedro Hernández, 43, a couple that has four children.

Solís's and Hernández's grandparents were poor, their parents are poor and they are poor. Hernández, a stocky man with thick, graying hair and a mustache, raises corn; Solís gathers the husks to sell for wrapping tamales. They live in a pink cement house on a hill in Paso de Coyutla. Early this year, Hernández had to borrow \$1,000 at a crippling 20 percent monthly interest to buy seeds and fertilizer. When I arrived in July, he had just harvested and sold the crop — but earlier than he would have liked, because he could no longer afford the interest. He made just enough on his corn crop to repay the debt.

In Paso de Coyutla, it seemed that the culture of poverty was indeed immutable. Generations after Jesús Sánchez, the lack of interest in education, failure to think about the future, machismo and authoritarianism persisted. There was every reason to think that life would be exactly the same for Solís and Hernández's four children.

But it may not be. Today their oldest daughter, Maleny, who is 17, is finishing high school and wants to be a teacher. Her 13-year-old sister, María Fernanda, wants to be a nurse. Two younger brothers also plan to stay in school. Maleny's bus takes up to 20 kids from Paso de Coyutla to her high school every day. "Around here, kids helped their parents in the fields," Solís said. She is solidly built, with a lively intelligence and a ready laugh. "But now they want to do other things," she added, flashing a smile revealing the silver that rims her two front upper teeth.

The change did not come gradually. Lewis's description of the culture of poverty probably still fit Paso de Coyutla 10 years ago. It doesn't anymore. The town has transformed itself in the past decade, a result of a deceptively simple government program that is now rewriting poverty-fighting strategies throughout Latin America and around the world. The program is called Oportunidades, and in 1997, Paso de Coyutla became one of the first places in Mexico to enroll. The program gives the poor cash, but unlike traditional welfare programs, it conditions the receipt of that cash on activities designed to break the culture of poverty and keep the poor from transmitting that culture to their children.

Until recently, for example, children like Maleny did not go to high school. Though Maleny's school is public, families often prefer not to pay the fees they're assessed or to pay for school supplies, food and

transportation. More important, if she were not in school, she, too, could be working in the fields. Such work is especially common among girls, as their education has been widely derided as a waste of money in rural Mexico — why educate someone who is just going to get married?

Now Maleny goes to school because her mother is enrolled in Oportunidades. Solís gets \$61 a month from the Mexican government on the condition that Maleny goes and maintains good attendance. (If she worked in the fields and earned a typical salary, she would be paid \$7.40 for an eight-hour day.) Such grants start for students in third grade, increase for each year of school and are higher for girls, which gives families added incentive to send them.

Solís also receives money for the family's food — again, subject to certain requirements. She gets a \$27-a-month basic food grant if she takes her family to regular preventive health checkups at Paso de Coyutla's clinic, which provides [vaccinations](#), pap smears and the like. She must also attend a monthly workshop on a health topic, like purifying drinking water. In total, the grants the family receives for food and the oldest three children's educations come to almost as much as Hernández earns farming.

I first visited Paso de Coyutla on Oportunidades' payday, which falls every two months. Hundreds of people, mostly women wearing their credentials around their necks, small children clutching their legs, were gathered in the town's open-air hall. The atmosphere was festive. The women stood in long lines to receive their envelopes of cash. Others were working behind banquet tables at the back, showing off embroidery and crafts made by Oportunidades beneficiaries.

When the program began, under the administration of President [Ernesto Zedillo](#), it was called Progresá. Zedillo's successor, [Vicente Fox](#), changed the name. Five million families are enrolled nationwide — a quarter of the country's households, including virtually every Mexican family at risk for hunger. Seventy-three of the 134 families in Paso de Coyutla are enrolled today. Oportunidades is now the de facto welfare system in Mexico, and it marks the first time modern Mexico has had an effective anti-poverty program.

The elegant idea behind the program — give the poor money that will allow them to be less poor today, but condition it on behaviors that will give their children a better start in life — is called conditional cash transfers, and the [World Bank](#) and Inter-American Development Bank promote it heavily. At least 30 countries have now adopted Oportunidades, most of them in Latin America, but not all: countries now using or experimenting with some form of conditional payments include Turkey, Cambodia and Bangladesh. Last year, officials from Indonesia, South Africa, Ethiopia and China contacted or visited Mexico to investigate. Perhaps the most startling iteration is in New York City. Opportunity NYC, a pilot program begun last year after Mayor [Michael Bloomberg](#) visited Mexico, will test whether the Oportunidades model can help the New York neighborhoods where poverty is passed down from parent to child. Britain has been successfully using a form of conditional cash transfers to keep teenagers in school and is now running pilots to broaden the program to other areas. The [Bill and Melinda Gates Foundation](#) is starting a pilot program in several American states to test whether low-income students will stay in college

if they get cash payments to do so.

Conditional cash transfers are a convergence point in two different evolutions in understanding and combating poverty. One is taking place in poor countries, which have long tended to concentrate their social services on building universities and [hospitals](#) for the urban middle class — a group with substantial political clout — as opposed to primary schools and clinics for the voiceless rural poor. In such countries that are governed by centrists, politicians are starting to help the rural poor because they now know how — and because the poor, who have not benefited from globalization, have flashed new political muscle by electing leftists elsewhere.

The situation is different in rich countries. In New York, Mayor Bloomberg has been able to experiment with Opportunity NYC because of a philosophical shift in how Americans think about poverty. Liberals have largely abandoned entitlements — the so-called nanny state — that took care of people with welfare and other payments while demanding little or nothing on their part. And most conservatives now acknowledge that government must play a role in fighting poverty. But that role is taking a new form. Lawrence M. Mead, a political-science professor at [New York University](#) and a former Republican Congressional staff member, calls it “the new paternalism.” The nanny state offered unconditional love; the new paternalism is tough love, directly aimed at smashing the culture of poverty. Paul Starobin, a staff correspondent for The National Journal, has coined the term “daddy state” — government as lifestyle supervisor and enforcer of civic responsibilities. Welfare reform, which imposes work requirements on welfare recipients, is the best-known example.

Conditional-cash-transfer programs, part of the new paternalism, defy the traditional poverty wisdom on both left and right. But intriguingly, they are postideological in another sense too. Do the poor fall into the culture of poverty for structural reasons, as Lewis contended, or behavioral ones, as Banfield argued? Oportunidades and Opportunity NYC have a novel answer to that question: maybe it doesn't matter.

In the mid-1990s, Mexico's antipoverty programs were a failure. A third of the population lived in extreme poverty, which meant their income did not even pay for food. Poverty was both more widespread and deeper in rural areas than in cities. Mexico's help for the poor was dispensed mainly in the form of subsidies on milk, tortillas and bread — a program that was inefficient, badly targeted and corrupt.

In 1994, the Mexican peso crashed, and the next year the economy contracted by more than 6 percent. It hit poor people especially hard. President Ernesto Zedillo — an economics Ph.D. who had run the food-subsidy program (and other social services) as a Treasury official and knew intimately what a mess it was — asked Santiago Levy, an undersecretary in the Finance Ministry, for new ideas on how to protect the poor.

Levy, who had been a professor of economics at [Boston University](#), had long advocated scrapping food subsidies. But the first paper he wrote for President Zedillo, he told me in an interview, also included a new idea that occurred to him — conditional cash transfers. He had concluded that food subsidies were simply

an inefficient way to give money to the poor. So why not just directly give them cash?

He presented his arguments to the cabinet. “They said, ‘This is nuts,’ ” he said. Some cabinet members warned that there were good reasons that other countries didn’t give the poor cash, and worried that it would be misspent, frittered away on alcohol. Others worried about the logistics of reaching remote villages. There were also more politically motivated objections — some cabinet members realized that their own fiefs were threatened. “That’s when I decided to run a pilot program without telling anybody,” Levy said.

He set up an experiment in two small cities in far-off Campeche State. He found that people preferred getting cash to buying subsidized food and were willing to meet conditions; he also found that it was feasible to distribute cash and that men didn’t beat up their wives, take the money and go to the cantina. Armed with his data, he won approval to start the program gradually, beginning in the most marginalized villages, like Paso de Coyutla.

In part because the program began stealthily, without the usual political bargaining and fanfare, Levy was able to design Oportunidades to resist special-interest pleading and concentrate on the poor. It tries to be comprehensive, tackling health, education and [nutrition](#). It aims at the poorest Mexicans — and research shows that it is successful. The program used census data to find the poorest rural areas and urban blocks, and within those areas, gave out questionnaires about people’s income and possessions: Do you have a dirt or cement floor? Own a hot-water heater? The homes of those who qualified were visited to verify their answers. The criteria apply nationally — the program allows for no local discretion. Families must be recertified every six years, and according to Salvador Escobedo, Oportunidades’ director today, about 10 percent leave each year, either because they have failed to complete their responsibilities or because they are no longer extremely poor.

Levy also aimed the program at the group that will spend money on the family: women. Surveys show that 70 percent of Oportunidades’ payment is spent on food — mostly fruit, vegetables and meat. Much of the rest goes to kids’ shoes and clothing and home improvements. The program is also designed to combat the typical afflictions of Latin American social programs. Local political leaders have no influence and so cannot use the payments to extort political support. Oportunidades staff members do not handle money — local banks hand out the envelopes of cash, and recipients are encouraged to open bank accounts to receive direct transfers.

Oportunidades is now one of the most-studied social programs on the planet. The program has its own research unit and publishes all the data it generates. In addition, a wide variety of the program’s features have been examined in hundreds of surveys and papers by independent academics. The results are put to work. When research showed, for example, that many children receiving a nutritional supplement still had [anemia](#), the supplement was changed to one with a more absorbable form of iron.

Levy paid for the program in a time of economic crisis by phasing out the general food subsidies. But since Oportunidades has virtually no infrastructure, it is still relatively cheap, costing Mexico about \$3.8 billion annually. Escobedo boasts that 97 percent of the budget goes directly to beneficiaries.

The program does have its problems. For one thing, Oportunidades lacks the impact in urban areas that it has in the countryside. This may be because it is newer in cities, and the supply of schools and clinics lags behind the increased demand. Even in the countryside, I met with some students who had classes with as many as 42 children, and I saw some clinics with half-day waits for appointments.

The most widespread criticism of the program's design I heard, from academics who study the program and from Oportunidades staff, is that it should attach more conditions to the handing out of money. These observers say that student achievement, not just attendance, should be rewarded. Oportunidades is now running a pilot program for this, but figuring it out is complicated by the fact that school quality in Mexico varies widely, and in rural zones it is largely awful. An initial study focusing on school achievement found that Oportunidades didn't have much impact on test scores. But the study had some flaws, and the topic needs further research.

Yet in general, Oportunidades is, in many respects, an astonishing success. Though it is still too early to know its impact on the adult life of the children who have grown up in the program, the poverty indicators speak to the effects of Oportunidades today. In 1994, before the peso crisis, 21.2 percent of Mexicans lived in extreme poverty. In 1996, just after the crash, 37.4 percent did. But that figure had dropped to 13.8 percent by 2006. Mexico's economic growth during the decade averaged an unspectacular 3 percent, which would not by itself have produced such gains for the poor. And these statistics underestimate the program's true influence, as its greatest effects were concentrated on the very poorest.

In Mexico today, rates of [malnutrition](#), anemia and stunting have dropped, as have incidences of childhood and adult illnesses. But the most pronounced effects are in education. Children in the program drop out less frequently, repeat fewer grades and stay in school longer. In some rural areas, the percentage of children entering middle school has risen by 42 percent. High-school enrollment in some rural areas has risen by 85 percent. The greatest gains were found in families where the mothers had the lowest levels of schooling.

During my visit to Mexico, I met family after family with distinct before-and-after stories. In the village of Tajin, Veracruz, I met a young mother named Minerva Santes Hernández. We talked on her spotless patio (several of the health workshops have dealt with household sanitation) while her three children, ages 6, 5 and 2, climbed on and off her lap. She entered the program when her two oldest were toddlers. "When we came into the program we found that they were undernourished," she told me. "I took them for weighings every month. The clinic gave me cereal and [vitamins](#) and told me to make them fruits and vegetables." The two older kids are fine now — the girl is quite tall. The 2-year-old was born into Oportunidades and has never had a problem, Santes said.

Before Oportunidades started, a major objection was that it could increase domestic violence. Poor, rural Mexicans are machista — and it's easy to imagine that they'd be provoked by Oportunidades, which requires women to leave the house to attend workshops, get their money and go to the clinic. Some of the workshops are about women's rights or about self-esteem. Women also get their own money and control how it is spent.

Among the most macho was Solís's own husband. "He was very angry in the beginning of the program," Solís said. "He'd come pull me out of a meeting, yelling: 'Your child fell down and hurt himself! See what happens when you abandon your house!'"

Pedro Hernández cheerfully pleaded guilty. "I didn't accept it at first," he said. "If the clothes were hanging on the line and it started to rain, I wouldn't take them down — I'd go pull her out of a workshop. Or I'd complain my food was cold. I didn't want to heat it up myself."

I asked if he knew how. He smiled. "Now I even know how to cook," he said.

What changed him was a burst appendix two years ago. Because of Oportunidades, the family received priority at a public hospital, where the operation cost \$100, not the \$3,000 the private hospital wanted. "I realized that it helps," he said. "We have food, shoes, school supplies, the kids have education. We have fewer problems."

Researchers on Oportunidades have not turned up much evidence that it has increased domestic violence, but they acknowledge that problem is often hidden. In the days before Oportunidades, "rights were only for men," said Reyna Luisa Olmedo Vásquez, the nurse at Paso de Coyutla's clinic. "So when that began to change, we began to see more mistreatment of women." One woman, she recalled, was beaten by her husband for letting a male doctor do a breast examination. But in Paso de Coyutla, it seemed, the men eventually accepted that the world had changed. After about five years, violence began to diminish, Olmedo Vásquez said, and now there is less than before the program started — an assessment echoed by doctors I met in other villages.

OPORTUNIDADE'S SUCCESS has begun to echo in some unlikely places. In 2006, Mayor Bloomberg convened a 32-member group called the Commission on Economic Opportunity, charged with finding new ways to help poor New Yorkers. Oportunidades was discussed. "But there was enormous skepticism," says Veronica White, the executive director of the Center for Economic Opportunity, which was established to carry out the group's recommendations. Linda Gibbs, the deputy mayor for health and human services, says that the members preferred to stick with the idea of caseworkers helping poor families. The group's report did not recommend an Oportunidades spinoff for New York City. But in his response to the report, the mayor did. A pilot program began in September 2007, financed by private donors, including Bloomberg himself.

The study enrolled nearly 5,000 families in six consistently poor community districts in the Bronx, Brooklyn and Manhattan, 80 percent of which are single-parent families, the vast majority of which are headed by women. Half are in a control group and the other half get payments — for example, \$25 for attending a parent-teacher conference or discussing test results with teachers. They get \$25 per month if an elementary- or middle-school child maintains 95 percent attendance; for high-school students, the rate is \$50 a month. (In the case of high-school students, rewards for attendance, accumulating credits and graduating go in part to the student.) Beneficiaries receive \$150 monthly for holding down a full-time job — more for taking courses while employed. Participants receive their money after returning coupons signed by their doctors and sometimes their teachers. A family that completes all the requirements can make more than \$4,000 per year.

It is too early to know if poor New Yorkers respond to payments as readily as poor Mexicans do; the first evaluation, carried out by the social-science research group MDRC, won't be out for a few months. Gordon Berlin, the president of MDRC (which also designed the pilot), says that precedents exist. He cites programs in Wisconsin, Minnesota and two provinces of Canada that gave the poor extra money for working. All brought increases in work and earnings as well as benefits to the schooling of the participants' young children.

If Chandra Hannah is any indication, many New Yorkers will respond. Hannah is a 41-year-old black woman with six children, ranging from infant [twins](#) to a 22-year-old son, living in the East New York neighborhood of Brooklyn. When I met her in August, she had just finished her bachelor's degree and was preparing to start a master's, hoping to open her own early-childhood special-education center in the neighborhood. But she said Opportunity had led her to become far more involved with her own children's health and education. "I talk to their teachers more," she said. "Now I go to conferences all the time. I didn't know about the tests they took before. I mean, I knew about them, but I never really looked." She went to a workshop at school for parents on how to help and motivate their children. "Now I spend an hour with my 11-year-old when he comes home from school on his homework," she said. "With the twins, we'll read to them — I'll read one paragraph and then he'll read a paragraph."

Jose Gonzalez, an enrollment and outreach worker at Urban Health Plan, which administers the pilot program in the Bronx, told me: "Once they find out they're getting paid, their children's attendance in school gets a lot better. Getting them to stay current on [health insurance](#) is probably the hardest task. The yearly medical checkup is done most often. That's \$200 right there."

But there were a few people enrolled in the pilot program in East New York who hadn't yet even picked up their coupon books, said Candice Perkins, who coordinates East New York's pilot program from the storefront office of Groundwork, a social-service agency. Hannah and Perkins sat in Groundwork's small conference room and dissected the neighborhood's low test scores and high drop-out rates. Perkins said that as part of her duties for Groundwork, she gives talks on the importance of sending kids to school and

of being involved with their teachers and counselors. “But sometimes people say, ‘I’m too tired to send them to school.’ Or the child has [asthma](#) — and misses 13 or 14 days.” Perkins was a young and earnest black woman, dressed to kill with glitter makeup at 10 a.m. She was frustrated with people’s lack of interest in the job banks and training programs offered to help them. “We get less than 5 percent attendance at workshops,” she said. “Some people, their mind-set is dependence, and to go that extra mile to get resources is hard.”

For conservative critics of Opportunity, this disconnect is crucial. [Heather Mac Donald](#), a senior fellow at the Manhattan Institute, has written articles on the program that echo Perkins’s complaint: “Talk to any inner-city teacher,” Mac Donald wrote in *The Weekly Standard*, “and you will hear how difficult it is to get parents involved in their child’s education, or students to bother with homework. Countless schemes for tutoring and job training sit on the shelves unused because the ‘clients’ never show up.”

“If Opportunity NYC goes large scale,” Mac Donald told me in an interview, “it will further break down the moral obligation to care for one’s child and adopt the repertoire of parenting behaviors the middle class takes for granted. It will replace that with the expectation that I’m only going to do it if you pay me.” She cites Banfield that living in the present is the central cause of poverty and echoes his skepticism that government can help. “What government cannot do is create personal responsibility and drive in individuals,” Mac Donald has written.

But government can change toxic cultures. If the women of Paso de Coyutla are not yet wearing the pants, as Pedro Hernández nervously jokes they are, they certainly describe themselves as different people than they were 10 years ago. In large part, they’ve come to believe in their own capacity to take care of their families; they believe they are part of a group; they organize to improve the village; they invest all they can in their children’s futures. Change is usually generational, produced by education. But it came astoundingly quickly in many parts of Mexico.

Opportunity NYC will not be able to help those parents too apathetic to pick up their coupon books. But those parents are just a small handful. As for the rest, one of the most tantalizing lessons of the program is that the answer to why Mom skips the parent-teacher conferences may not matter.

This is the symbolic controversy of the poverty debate. Are these absentee moms just too busy working two jobs, overwhelmed with the problems of being poor? Opportunity NYC will probably help them. Or have they just not bothered? It may help them too. “There is no inherent contradiction in saying this problem is caused by something other than lack of money and saying that money is the incentive to fix it,” Levy says. “That’s Economics 101. But you have to evaluate it.”

Linda Gibbs, the deputy mayor for health and human services, agreed. “We know that education and health as children are key to getting out of poverty as adults,” she said. “You can have an endless, circular debate about why people don’t do things. This program is less focused on the why and more focused on whether a

different approach can have an impact in a way traditional approaches have not.”

Education and health, however, will take you only so far. Suppose Opportunity NYC succeeds. The likelihood is that these families will still be poor. One in three jobs in America pays less than \$11.11 an hour, with no benefits. Full time, that’s less than \$23,000 a year.

Mexico has it even worse. Anyone reading Oportunidades’ reviews might reasonably ask: so why is there still so much misery? One reason is that the payments, helpful as they are, are still heartbreakingly small. Emma Pasarán in the town of Venustiano Carranza in Puebla, told me that one of the benefits of the program is that “I am never without money. If my daughter says, ‘Mom, I need a pencil,’ I can say to her, ‘Here’s the money.’ ” She mimes taking a coin out of her purse, a proud smile on her face.

In the same town, I talked to Elia Valderrama Vargas, a mother of three, in her dirt-floor house, about the jobs that will be open to her soon-to-be-educated children. “My husband cuts weeds with a machete,” she told me. “My children will be able to work in a tortilla factory because they’ll know how to cobrar” — how to add purchases and give change. For Pasarán, buying a pencil on a whim was the fulfillment of a dream; for Valderrama, it was seeing her children in indoor work.

It is not enough — Oportunidades is only an antipoverty program, just one part of a solution, when what is needed is a whole strategy. Few good jobs await even educated young Mexicans. This is Levy’s latest crusade — to get Mexico to channel poor people into productive jobs in Mexico’s legal labor market. “Creating formal-sector jobs is Mexico’s central challenge,” Levy said. Without that, he added, “it is as if Oportunidades were financing an improved labor force for the United States.” But if Mexico can find a way to create better jobs, it will have access to a work force that, because of Oportunidades, has acquired more of the good health and education necessary to take advantage of them.

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